

Home Rule, Local Autonomy, and Voters: Explaining Government Growth

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Abstract

This paper examines local government growth by analyzing how municipalities respond to increases in taxing autonomy and whether their responses are conditioned on voter preferences. Specifically, we investigate the fiscal impact of home rule when the shift to home rule status (HRS) is independent of voter preferences versus when voters adopt home rule. We find that home rule has no effect on tax collections when changes in HRS are unrelated to voter preferences. However, the tax structure shifts to one that more closely aligns with the preferences of the median voter. In contrast, when voters select into HRS there is a significant and sustained increase in tax revenues that is driven by increases in property and sales taxes. These findings indicate that local fiscal policy is responsive to the preferences of the median voter.

Keywords: government growth, home rule, median voter, local government autonomy, sales tax, tax exporting

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Introduction

Relative to their counterparts in other countries, local governments in the United States enjoy a high level of fiscal autonomy, the ability to set tax rates and define tax bases without outside influence (Chapman, 2003).¹ At the same time, state governments shape and constrain the fiscal space of local governments. In almost all states local governments operate under some form of Dillion's Rule, meaning they can only exercise powers explicitly granted to them by states. State governments also impose a variety of tax and expenditure limitations on local governments, limiting their ability to increase tax revenues, issue debt, and manage their budgets (Mullins & Joyce, 1996).

These efforts are motivated by a belief that left to their own devices local governments will tax and spend at levels beyond those desired by citizens (Joyce & Mullins, 1991). However, despite state-imposed constraints, the size of municipal governments continues to expand. From 1990 to 2021, municipal government revenues rose from \$1,423 per capita to \$3,891 per capita, a 173 percent increase. During the same time tax revenues increased by 224 percent.² Garrett and Rhine (2006) categorize theories explaining this growth as 'citizen-over-state' or 'state-over-citizen' According to the former, the median voter's demand for government services determines government output and corresponding tax levels- the total amount of taxes collected (Black, 1958; Downs, 1957). According to the latter, the forces driving growth come from within government, leaving voters with little to no capacity to limit government expansion (Buchanan & Tullock, 1962; Niskanen, 1971).

In this article we provide evidence on the growth of local government by studying how cities respond to increases in fiscal autonomy and whether responses are conditioned on voter preferences. To do so, we take advantage of an institutional environment in which municipalities become home rule municipalities through referendum or through population growth. In the case of the former the expansion of fiscal autonomy is endogenous to voter preferences. In the latter scenario a municipality becomes home rule once its population surpasses 25,000 making the change in HRS arguably exogenous to voter preferences.

We provide evidence in three areas. First, we take advantage of the exogenous nature of the treatment to isolate the effect of home rule, allowing us to provide causal estimates of how changes in local fiscal autonomy impact fiscal outcomes. Second, by comparing fiscal responses when changes in HRS are exogenous versus endogenous we provide insight into the presence and extent of the confounding effect of selection into treatment. Finally, we provide empirical evidence on theoretical questions of local government growth and responsiveness. Are voters able to limit government's ability to adopt fiscal policies that are out of step with voter preferences?

Drawing on fiscal data published by the State of Illinois Comptroller we use a staggered differences-in-differences (DiD) design to compare Illinois municipalities who became home rule municipalities due to population growth (population growth municipalities henceforth) to a control group of Illinois municipalities whose home rule status is constant over the sample period. We find no evidence of changes in general revenues or locally assessed tax revenues. However, the tax mix shifts away from property taxes and towards sales taxes. We repeat the analysis, replacing the treated group with municipalities that passed a home rule referendum (referendum municipalities henceforth). Results indicate a significant and sustained increase in

general fund and total tax revenues. Further analysis reveals that this is driven by growth in sales and property taxes. These results are consistent with the limited number of quasi-experimental home rule studies where voters self-select into home rule status; fiscal autonomy is positively associated with overall tax effort, and with property tax revenues and sales tax revenues specifically (Larson & McDonald, 2023; Walshe, 2019; Zhang & Nguyen-Hoang, 2023).

The article is organized as follows. In the second Section we outline the institutional setting of our study. The third Section reviews the relevant literature on fiscal autonomy, voter preferences and public sector output. We explain our conceptual framework and develop our hypotheses in the fourth Section. The fifth Section describes the data. The empirical approach and presents results are discussed in the following section. Sensitivity analyses follow in seventh Section and the final Section concludes.

Institutional Setting

Home Rule and Fiscal Autonomy

Local governments in the United States lack an independent constitutional basis; instead, they derive their governing authority from state constitutions and statutes. Decisions about the powers states grant to local governments—and, by extension, the degree of autonomy they enjoy—are often understood as existing along a spectrum anchored by two contrasting frameworks: Dillon’s Rule and home rule (Richardson, 2011). Under Dillon’s Rule, local governments possess only those powers explicitly delegated by the state, implying limited authority and low levels of autonomy. At the other end of the spectrum, home rule is often

described as granting local governments broad authority to act unless specifically restricted by state legislation.

In practice, however, home rule is far more complex than this simple dichotomy suggests. Although it lacks a single definition, home rule can generally be understood as a statutory or constitutional arrangement that grants local governments greater powers of self-government (Bowman & Kearney. 2012). The scope of these rule powers varies substantially across states, and depend on constitutional language, statutory provisions, and judicial interpretations (Richardson, 2011; Walshe, 2019; Banovetz, 2002). Moreover, state legislatures frequently constrain local autonomy in other ways. Tax and expenditure limitations (Joyce & Mullins, 1991) and the preemption of local laws (Goodman, Hatch, & McDonald, 2021; Fowler & Witt, 2019) are two prominent examples. Local governments also respond strategically to such constraints; for instance, the proliferation of special districts has been linked to state restrictions on local fiscal authority (Goodman & Leland, 2019).

The relationship between home rule and local autonomy is not straightforward. Nevertheless, home rule remains a common indicator of local fiscal autonomy—the specific dimension of autonomy most relevant to this research (Bunch, 2014; Ivonchuk, 2021; Larson & McDonald, 2023). In Illinois, the context for this study, local governments prior to 1970 had limited authority, possessing only the powers expressly granted to them by the state. The 1970 Constitution fundamentally altered this arrangement by granting home rule status to municipalities with populations over 25,000 (with smaller municipalities eligible by referendum). These provisions conferred fiscal powers that rank among the broadest granted to local governments in any state (Banovetz, 2002). These powers are outlined in the state constitution as follows:

“Except as limited by this Section, a home rule unit may exercise any power and perform any function pertaining to its government and affairs including, but not limited to, the power to regulate for the protection of the public health, safety, morals and welfare; to license; to tax; and to incur debt.” (Art. VII; Sec. 6a)

The implications for financial decision making are significant. Home rule municipalities can change tax rates, create new revenue instruments and issue municipal bonds. More specifically, home rule municipalities face restrictions on how they use property tax revenues than non-home rule municipalities (Illinois Property Tax Rate and Levy Manual, 2023) and they are not bound by the Property Tax Extension Limitation Law (PTELL) which limits annual increases in individual property tax bills to the lesser of five percent or the rate of inflation.³

Home rule municipalities also have greater latitude to increase revenues through sales taxation, a major source of revenues for local governments. All Illinois municipalities receive a share of revenue generated by the state sales tax. Home rule municipalities are not permitted to increase revenue by altering the tax base. For example, they cannot subject a wider array and goods and services to the sales tax. However, they can increase revenues by increasing the sales tax rate by up to 1.5 percent. Non-home-rule municipalities can also raise their sales tax rate, but this requires voter approval via a referendum, and the increase is limited to one percent.

Excise taxes, sales taxes applying to specific types of consumption, are another revenue tool available to local governments. Common goods and services subject to excise taxes include the sale of alcohol, tobacco, prepared food and beverages, lodging (i.e. hotel/motel tax), amusement activities (concerts, movie theaters, sports events, amusement parks, etc.) and utilities.⁴ Home rule municipalities have the ability to levy these taxes and set the tax rate ,

whereas non-home rule municipalities must seek specific approval from the state legislature to impose them.

Finally, there are limitations to the fiscal autonomy conferred by home rule. As previously mentioned, local governments must accept the state's tax base for purposes of the general sales tax. Additionally, any increase in the real estate transfer tax can only occur through a referendum and local governments are prohibited from imposing income taxes (Banovetz, 2002).

Home Rule Referendums

Per the 1971 Constitution, smaller municipalities (i.e. those with populations under 25,000) seeking expanded fiscal powers can hold a home rule referendum. This process may be initiated either by voters or the local council. As of 2022, 221 of Illinois's 1,279 municipalities are home rule municipalities (Illinois Municipal League, 2025). Of these, 74 achieved home rule status by meeting the population threshold, while 147 did so through a referendum.

Municipalities hold home rule referendums for various reasons. Communities are often seeking greater autonomy and control over local affairs. A common motivation is the desire for increased flexibility in economic development (Berman, 2019). Proponents argue that enhanced local autonomy allows municipalities to respond more effectively to a changing economy and attract businesses. For example, referring to the home rule referendum the Richton Park Village President argued "Not having Home Rule authority puts us at a profound competitive disadvantage when we speak of economic development. Our neighbors have the tools that Home Rule authority gives them, and the Richton Park simply do not have those tools to compete (Village of Richton Park, 2023)."

Taxing authority is another common reason municipalities seek home rule status (Banovetz, 2002). Local governments often seek to obtain home rule as a means of enhancing fiscal autonomy and diversifying revenue sources to alleviate fiscal pressures (Chapman, 2003). Expanded taxing powers can help municipalities navigate fiscal uncertainty, maintain revenue stability (Zhang & Nguyen-Hoang, 2023) and respond more quickly to negative revenue shocks by substituting revenues from alternative sources (Shoag, Tuttle, & Veuger, 2019). They also allow governments to sustain more diversified and resilient revenue structures (Hendrick, 2002; Carroll & Johnson, 2010).

However, rather than advocating for higher taxes, supporters of home rule argue that the increased flexibility will enable the municipality to diversify revenue streams and reduce reliance on property taxes. A related argument commonly made is that home rule facilitates a shifting of the tax burden from residents to non-residents through increased reliance on sales taxes, amusement tax, hotel/motel taxes, real estate transfer fees taxes, and similar local taxes. Officials in the Village of Cary made this point explicitly, arguing that “Home Rule provides new options to reduce the pressure of property taxes on Cary homeowners. Becoming a Home Rule community would allow the Village to shift the tax burden from residents to non-residents through potential sales, amusement, and other local taxes (Village of Cary, 2024).” The Village of Roselle argued it needed home rule power so it could implement a 1 to 1.5 percent annual sales and gasoline tax to fund mandatory infrastructure updates to its wastewater system. Absent home rule, Rosell would fund these mandatory updates through an unpopular increase in *resident’s* water bills (Village of Roselle, 2024).

Opposition to home rules is motivated by a general concern that local governments will abuse the broader authority to tax, spend, and incur debt (Kearney, 2016). Fears over higher

property taxes are particularly salient (Banovetz, 2002). To assuage these fears, some home-rule communities pledge to abide by property tax limitations in PTELL or make similar concessions. For example, Richton Park Village promised to freeze property tax rates for five years. Other specific objections cited by opponents of home rule are an ability to issue debt without voter approval and an ability to create new fees and regulations (Scobey, 2018).

The way the government explains and promotes the benefits of home rule plays a crucial role in determining whether a referendum succeeds or fails (Kearney, 2016). For example, in 1985 two Illinois cities, Mount Vernon and Charleston, each held a home rule referendum with the goal of increasing revenues through the taxation of non-residents. The Mount Vernon Council clearly communicated the purpose of seeking home rule, and as a result, voters approved it by a two-to-one margin. In contrast, officials in Charleston mistakenly assumed that home rule was a “no-brainer” and failed to make a clear case to residents. This lack of explanation led to the referendum's failure, with voters rejecting home rule by more than two-to-one (Banovetz & Kelty, 1986).

Literature Review

Are local governments' revenue maximizing leviathans, unconstrained by the preferences of their voters (Buchanan & Tullock, 1962; Niskanen, 1971)? Or is fiscal policy set to satisfy the demand of the median voter (Black, 1958; Downs, 1957)? These contrasting perspectives on the nature of government inform the study of how local governments react to changes in taxing authority and the extent to which voters can influence those responses.

Local Government Responsiveness to Voter Preferences

A key challenge in empirically evaluating how local government fiscal policy responds (or does not respond) to the median voter is the lack of data on citizens' fiscal policy preferences. One approach to this issue is to use democratic vote share as a proxy for fiscal preferences (see Choi et al., 2010 or Hajnal & Trounstein, 2010). Studies taking this approach generally find that Democratic cities tax and spend more than their Republican counterparts (Choi et al., 2010; Einstein & Kogan, 2016; Sances, 2021). These findings are interpreted as evidence that local governments are responsive to the fiscal preferences of the median voter.

However, one might question partisan vote share as a proxy measure of fiscal preferences. Funk and Gathmann (2013) argue that such measures fail to adequately capture the heterogeneity in voter preferences. Moreover, the public finance literature suggests that regardless of ideology citizens prefer lower taxes (Glaser and Hildreth, 1996; Lim et al., 2013). Notably, California and Colorado-two of the most progressive states- have implemented some of the most restrictive tax and expenditure limitations (TEs) in the form of Proposition 13 and TABOR respectively.

This is supported by research investigating the relationship between direct democracy and fiscal outcomes which suggests that, all else equal, voters prefer a smaller government sector. Drawing on theory predicting that referendums, an institution of direct democracy, more closely align policy with voter preferences (Beasley & Coate, 2008), Matsusaka (1995) examines fiscal outcomes in U.S. states that permit voter initiatives and those that do not. He finds that states permitting voter initiatives tend to have lower government spending, rely more heavily on revenues from service charges, and depend less on broad-based taxation. Using a regression discontinuity design, Hinnerich and Pettersson-Lidbom (2012) show that Swedish governments with direct democracies spend between 40 and 60 percent less on public welfare than their peers.

Similarly, leveraging a unique data set that allows for the measurement of voter preferences Funk and Gathmann (2013) find Swiss localities with institutions facilitating direct democratic participation spend less than their peers and that this relationship holds even after controlling for voter preferences.

Other authors infer preferences of the median voter by analyzing referendum results. Dronyk-Trosper (2017) and Wei (2021) use regression discontinuity designs to study the fiscal effects of property tax override referendums in Massachusetts. Neither study finds evidence of changes in spending or revenues, leading to the conclusion that fiscal policy is not responsive to voter preferences. These papers contribute to the literature by employing a research design that accounts for the endogeneity of voter preferences and fiscal institutions, municipalities have the ability to hold referendums *because* of preexisting preferences for smaller government. This study makes a similar contribution by examining how an expansion of fiscal authority affects fiscal policy in two scenarios, one when voters pass a home rule referendum and a second when the granting of home rule status is arguably exogenous to voter preferences.

Revenue Effects of Home Rule

One way in which localities expand their taxing authority is by adopting home rule. A potential benefit is revenue stability; research shows that home rule municipalities have more diversified revenue structures (Carroll & Johnson, 2011; Hendrick, 2002). As a result, home rule municipalities are arguably better placed to respond to economic downturns and revenue shortfalls because they have a greater array of revenue sources to draw upon and more authority to do so. For instance, Shoag, Tuttle and Veuger (2019) find that home rule municipalities are better able to mitigate the loss of sales tax revenues from big box store closures and that they do this by increasing revenues from property taxes, charges and fees and miscellaneous revenues.

At the same time, greater ability to tax, as well as the potential for fiscal illusion resulting from a complex revenue structure, suggests that home rule municipalities will have a larger public sector (Krane et al., 2001; Wagner, 1976). Recent studies using differences-in-differences designs to compare revenue levels in municipalities with and without home rule powers show that taxing authority is associated with a larger tax burden (Walshe, 2019; Larson & McDonald, 2023; Zhang & Nguyen-Hoang, 2023). However, in each of these studies citizens opt into home rule status through a referendum. Consequently, it is unclear if tax revenues increase because municipal governments are exploiting their new taxing authority or if they are responding to the fiscal policy preferences of the median voter, as expressed through the referendum.

In addition to the total revenue levels, the anecdotal evidence mentioned earlier indicates that how revenues are raised is just as important to voters as the amount collected. Sales and non-tax revenues tend to be popular while the property tax is unpopular. One reason is that the burden of sales taxes can be shifted onto non-residents while the incidence of property taxes falls on residents.⁵ Walsh (2019) shows that after gaining HRS municipalities substitute sales for property tax revenues, a tax mix preferred by the median voter. However, the evidence on this point is far from overwhelming. Zhang and Nguyen-Hoang (2023) do not find evidence of a tradeoff, property and sales tax increase by \$27 and \$43 per capita respectively after Texas municipalities approve home rule charters and Chen (2022) finds home rule positive effects sales taxes only.

In the following section we draw on Median Voter Theory (MVT) to develop expectations about how local government revenue policy responds to increases in taxing authority as captured by the acquisition of home rule status.

Conceptual Framework

The MVT is a citizen-over-state theory in that a government sets its budget in response to the median voter's demand for government public sector output (Reiter and Weichenrieder, 1997). The median voter maximizes her utility from the consumption of private and public goods (q), subject to a budget constraint. Assuming constant income (ε) and price elasticities (δ), the median voter's demand for public goods can be expressed in terms of q as

$$q = k * [t * p * N^\alpha]^\delta Y^\varepsilon \quad (1)$$

where k is a constant, N denotes population size and α is a measure of non-rivalry. t is the decisive voter's share of the tax burden, p is the price of the good, and Y is gross income. A successful home rule referendum signals an increase in the median voter's demand for q . It also loosens the municipality's budget constraint, enabling public sector output to adjust to meet q . This leads to our first hypothesis:

H1: Tax levels increase when home rule status is gained through referendum

As described above, the ability to shift the tax burden onto non-residents via increased reliance on consumption and tourism-orientated taxes is often proposed as a reason to adopt home rule. This implies that voters can increase q without an increase in t (theoretically t could decrease). Thus, we hypothesize the following:

H2: Increases in tax levels will be most pronounced in sales taxes

According to the state-over-citizen theories of government, government growth stems from the inherent nature of government itself. If this is the case, how a municipality gains HRS is irrelevant. Municipalities will seize the opportunity provided by home rule to expand the public sector beyond what voters demand (Ross & Mughan, 2018). On the other hand, if the level of public sector output is chosen to satisfy the median voter, tax and spending levels will not change in response to exogenously imposed changes in HRS. This leads to our third hypothesis:

H3: Tax levels are unchanged when home rule status changes independently of voter preferences

Sales and property taxes are major revenue sources for local governments and have been shown to be substitutes; local governments use sales taxes to replace lost property tax revenues and vice versa (Lewis, 2001; Shoag et al., 2019; Sun, 2014). Given the relative popularity of sales and property taxes generally and the potential of home rule to facilitate a reduction in voters share of the tax burden (t), municipalities might respond to an exogenous change in HRS by increasing reliance on sales tax at the expense of the property tax (Einstein & Kogan, 2015; Hendrick, 2002). This gives us our final hypothesis:

H4: When changes in home rule status are independent of voter demand the tax mix shifts towards reliance on sales taxes

Data

This article relies on municipal financial data published by the Illinois Comptroller Office for fiscal years 2000 through 2021. Critically, it contains information on locally assessed taxes (i.e. those imposed by municipal governments), home rule status and municipality specific fiscal years. Locally assessed taxes consist of four subcategories, property, sales, utility and other.⁶ Local sales taxes are not a significant revenue source for municipal governments, 42 percent of home rule municipalities and over 90 percent of non-home rule municipalities report \$0 in this category. However, municipalities receive a substantial amount of revenue from the state sales tax, which is set at 6.25 percent. This revenue is collected by the state government, which redistributes one percent of the total to municipalities. Home rule municipalities can boost their sales tax revenues by imposing an additional tax on the state's tax base in increments of 0.25 percent, up to a maximum of 1.5 percent. This revenue is reported as a sales tax state transfer in the data. We combine the state-distributed portion of sales tax revenues with locally assessed sales tax revenues to create our measure of sales tax revenue.

To account for the possibility that the presence of overlapping local governments affects municipal fiscal behavior we construct a measure of government density (Goodman and Carroll 2024). To do so we collect information on the number of special district governments in county i from the Census of State and Local Government Finance and divide it by the county i 's land area.

The financial data is combined with information pertaining to home rule and local referenda. The former is available through the Illinois Municipal League (IML), which maintains a list of home rule municipalities, including the year and method (referendum or population growth) HRS was conferred. The referendum data is sourced from the Illinois State Board of Elections, which maintains a comprehensive database of referendum held in Illinois since 1995.

The database includes the result of the referendum (pass or fail), referendum type (tax, bond or miscellaneous) and a brief description of the referendum. We construct a dataset of all referendums held by Illinois municipalities between 2000 and 2024.

The sample is qualified along a few dimensions. First, municipalities with fewer than 2,500 residents in any sample year are dropped from the analysis. The average population of these cities is 590. Second, we exclude 25 municipalities who gained HRS in our never treated period, 2000 through 2004. Third, we drop nine municipalities that do not appear in either in the pre or post period. We also drop two municipalities whose HRS changed in 2021, the last year of our sample. Lastly, due to its size and complexity Chicago is excluded from the analysis. The result is a sample of 389 municipalities, 87 percent of which appear in the data every sample year. Nine municipalities changed home rule status between 2004 and 2020 due to population growth while 23 passed a home rule referendum. Table 1 reports the year in which each home rule status change occurred, along with the number of municipalities that changed status in each year.

Table 1 Here

Each treated municipality has at least five years of pretreatment data, and all but three have a minimum of five years of post-treatment data.

Table 2 provides pretreatment summary statistics for each treatment group, as well as for municipalities where home rule status does not change.

Table 2 Here

The Difference Columns (Columns 3 and 5) report the p-values for a difference in means test between each treatment group (the referendum group (Column 3) and population growth

group (Column 5)) and the control municipalities. Along almost all dimensions, revenues and expenditures in the treatment groups and control groups are comparable. An exception is that municipalities that hold (and later pass) home rule referendum generate less revenue through the sales tax and more revenues through utility taxes and license and permits fees. This pattern aligns with the tax-exporting argument often made by local officials. Relative to other municipalities these municipalities are more heavily reliant on revenue sources typically paid by residents (utility taxes and license and permits fees) and less reliant on taxes where the tax burden is shared with non-residents (sales tax). Municipalities may seek home rule status to reverse this dynamic. Population growth and control group municipalities are similar across most dimensions, suggesting that for these municipalities local fiscal preferences are not driving changes in home rule status.

Differences-in-Difference

Differences-in-Differences Model

We implement a differences-in-differences (DiD) model to estimate the effect of gaining home rule status on revenue outcomes. The ordinary least squares model takes the following form:

$$Revenue_{it} = \alpha + \beta_1 Home Rule_{it} + \lambda_i + \eta_t + \varepsilon_{it} \quad (1)$$

Where $Revenue_{it}$ is the revenue outcome for municipality i in fiscal year t . The main variable of interest, $Home Rule_{it}$, is a binary variable equal to one if municipality i is a home rule

municipality in fiscal year t . The terms λ_i and η_t account for municipal and fiscal year fixed effects respectively and ε_{it} is an idiosyncratic error term. The parameter β captures the coefficient of interest, the average treatment effect of home rule on revenues.

To examine the dynamic effects of HRS on financial outcomes we also estimate the following event study specification:

$$Fiscal_{it} = \alpha + \sum_{k=-7}^7 \beta_k Home Rule_{itk} + \lambda_i + \eta_t + \varepsilon_{it} \quad (2)$$

where $Home Rule_{itk}$ is an indicator for k years preceding or following the switch into home rule status. The reference year ($k=0$) is the year a municipality's HRS changes and values are binned at $k \pm 8$. Finally, recent advances in the econometrics of DiD designs with staggered treatment adoption show that conventional two-way fixed effects event-study regressions can yield biased estimates when treatment effects vary over time or across cohorts (see Roth et al., 2023, for an overview). To address this, we use the event-study estimator proposed by Sun and Abraham (2021), which corrects for this bias by first estimating cohort-specific effects relative to a base period and then aggregating them, while excluding comparisons to units that have already been treated to already-treated units.

Two identification assumptions must be satisfied for a DiD design to obtain unbiased treatment effect estimates (Angrist & Pischke, 2008; St. Clair & Cook, 2015). The first is that the treatment is exogenous to the outcome variable. We argue that this criterion holds for population growth municipalities. However, it is almost certainly violated in referendum municipalities. In these instances, it is unclear what the coefficient of interest captures, as it is not possible to

disentangle the effect of increased taxing authority from other factors—such as the median voter’s preference for higher public expenditure— that may influence both taxation levels and treatment take up.

The second criterion necessary for causal inference is the parallel trends assumption. By estimating treatment effects in the pre-treatment years, the event-study specification (Equation 2) provides an empirical test of this assumption. Significant point estimates would indicate that the control group is not a valid counterfactual. Results of our empirical analysis (shown in Figures 1 and 2) indicate that the parallel trends assumption is met; there is no evidence of differences in per capita revenue outcomes between treated and non-treated units in the years leading up to changes in home rule status.

Differences-in-Differences Estimation Results

Table 3 presents results corresponding to Equation 1.

Table 3 Here

When voters opt into home rule status (Panel A) general fund revenues and locally assessed taxes increase by \$128 ($p < 0.05$) and \$71 ($p < 0.01$) per capita respectively. Results also suggest that sales and property tax revenues increase, however these estimates lack statistical significance. When treatment status is independent of voter preferences for public goods (Panel B) coefficient estimates on general fund and locally assessed tax revenues are negatively signed and statistically insignificant. However, results are suggestive of substitution; property tax revenues decrease by \$71 ($p < 0.01$) while sales tax revenues increase by \$66 ($p < 0.1$).⁷ To explore these findings, Figure 1 presents results derived using Equation 2.

Figure 1 Here

Changes in home rule status have no effect on license & permit fees or charges for services, which are trending downwards over the study period. However, there is a visible increase in general fund revenues and locally assessed tax revenues following treatment among referendum municipalities (endogenous treatment group). These point estimates are statistically significant, and their direction and magnitude are consistent with average treatment effect estimates presented in Table 3. There are no equivalent effects for population growth municipalities (exogenous treatment group). These findings provide support for *H1* and *H3*, tax levels increase when municipalities gain home rule status through referendum (*H1*) but are not affected when treatment is induced by population growth (*H3*).

Next, we turn to sales and property tax revenues, major local government revenue sources that are central to the debate surrounding voter preferences and local taxing authority. Treatment effect estimates are reported in Figure 2.

Figure 2 Here

Per capita sales tax revenues increase in both groups following treatment (Panel B). However, the effect of home rule on property taxes (Panel A) differs by treatment group. In municipalities that opt into home rule, property taxes increase by approximately the same amount as sales taxes. Therefore, we do not find support for *H2*, which predicted growth would be most pronounced in sales tax revenues.

By contrast, when HRS is externally imposed on municipalities we see a significant and sustained decrease in property tax revenues that offsets the increase in sales tax revenues. These results are consistent with the results presented in Panel B of Table 2 where the null effect on locally assessed tax revenues masked significant (and offsetting) changes to property and sales tax revenues. They also provide support for *H4*, the tax mix shifts away from property taxes

towards sales taxes, a tax bundle that is likely consistent with the preferences of the median voter.⁸

Extensions

Exploring the Role of Revenue Structure and Municipal Size

Illinois municipalities that gain HRS through population growth are, by definition, larger than those that achieve by referendum. One concern is that differences in municipal size, rather than the preferences of the median voter, may account for the heterogenous treatment effects observed in the main analysis. For instance, smaller municipalities may be more likely to increase revenues through general sales and property taxes as they have a smaller array of tax and non-tax instruments to draw upon (Hendrick, 2002).

To investigate the role of municipal size we estimate the effect of home rule referendums after subsetting the referendum treatment group by population size. If size is determining fiscal responses, we would expect the response of larger referendum cities to resemble the fiscal response in municipalities gained home rule through population growth. Before proceeding to the empirical analysis, we present relevant descriptive statistics. Table 4 reports differences in revenue structure by treatment group and municipal size. Specifically, it presents results from a series of t-tests comparing revenue outcomes in the exogenous treatment group (Column A) to 1) all referendum municipalities (Column B), 2) referendum cities with populations over 12,000 in each pretreatment year (Column C), and 3) referendum cities with populations under 12,000 over the pretreatment period.⁹

Table 4 Here

Property tax revenues, which range from \$163 to \$172 per capita, are comparable across groups. Sales tax revenues in the full treatment groups (Columns A and B) are also comparable. However, there are significant differences within the referendum treated group that are correlated with population size. Large referendum municipalities (Column C) are less reliant on consumption taxes as indicated by low average values for sales and other tax revenues relative to other groups. They also generate less tax revenue overall. The opposite is true for small referendum municipalities (Column D) who generate more sales tax revenue and more overall tax revenue than any other group.

To investigate whether these differences in revenue structure are reflected in the fiscal response to home rule we repeat event study analysis after subsetting the referendum municipalities treatment group by size. The control group remains municipalities whose home rule status does not change over the treatment period. Figure 3 presents the results.

Figure 3 Here

The diamonds represent point estimates for treated municipalities with a population of at least 12,000 while the smaller white squares represent equivalent estimates for municipalities with populations less than 12,000. Main results from Figure 2 are represented by the circles and are included for reference. The pattern and magnitude of treatment effect estimates do not resemble responses in similarly sized municipalities whose home rule population changes due to population growth (see Figure 2); property tax revenues do not decrease and there is no suggestion of a substitution between revenue sources.

One interpretation of these results is that fiscal responses are influenced by existing revenue structures. The descriptive statistics presented in Table 3 suggest that large referendum

municipalities have a limited sales tax base and that the opposite is true for small referendum cities. Once elected officials get permission for expanded public sector output from voters in the form of a successful referendum, smaller referendum cities are able to generate new revenues through sales tax whereas larger referendum cities must increase revenues in a less popular manner, through property taxation. In short, revenue capacity, in addition to voter preferences, shapes fiscal responses.

Exploring Responses to Changes in Voter Demand

Failed home rule referendum. Our main analysis relies on changes in taxing authority, arguing that differences in voter demand for public sector output in our two treatment groups explains the divergent responses to treatment. However, it is also conceivable that governments use home rule referendums strategically. That is, they put forward a home rule referendum hoping it will pass, demonstrating voter support for higher taxes, but intend on increasing tax levels regardless of the referendum outcome (Dronyk-Trosper, 2017). If this were the case, tax revenues should increase following a failed home rule referendum. Conversely, if government action is responsive to the preferences of the median voter, we would expect tax levels to remain unchanged.

To provide evidence on this point we draw upon our referendum data to estimate the fiscal effects of a *failed* home rule referendum. We adopt a similar approach to our main analysis, implementing a difference-in-differences model where treatment is defined as the year of the first failed home rule referendum.¹⁰ To form a comparison group we exclude municipalities that held a successful home rule referendum during the sample period as well as those whose HRS changed due to population growth. This results in a control group consisting of

municipalities that do not hold a home rule referendum during our sample period. The model takes the following form:

$$Fiscal_{it} = \alpha + \sum_{k=-7}^7 \beta_k Failed\ HR\ Referenda_{itk} + \lambda_i + \eta_t + \varepsilon_{it} \quad (3)$$

Figure 4 presents the results.

Figure 4 Here

We find no evidence of a fiscal response to a failed home rule referendum, treatment effect estimates for sales and property tax revenues fluctuate around zero prior to and following the referendum. However, due to the limited fiscal authority of non-home rule municipalities, it is possible that these governments aspire to increase tax revenues but lack the capacity to do so. We speak to this issue in our next analysis by estimating the fiscal implications of a failed tax referendum in both home rule and non-home rule municipalities.

Failed Tax Referendum. The Illinois State Board of Elections categorizes individual referendum as a tax, bond or miscellaneous referendum. Distinguishing tax referenda from other categories is crucial for two reasons. First, tax referendums typically involve binding questions as opposed to advisory ones. Binding questions can only be initiated by a governing body, such as a city council, while advisory questions can be placed on the ballot by either the governing body or through citizen petition.¹¹ Because they are binding, tax referendums can be viewed as an expression of the government's intent to adopt specific policies. Second, we can isolate referendums that are likely to have a direct effect on tax revenues from those that are not, for instance referendum related to government structure.

Table 5 presents relevant descriptive statistics.

Table 5 Here

Non-home rule municipalities generally conduct more referenda. When adjusted for the number of municipalities, the average home rule municipality held 2.54 referenda during the sample period, while the average non-home rule municipality held 2.93. Additionally, non-home rule municipalities tend to hold more referenda related to taxation. These tax referenda are significantly more likely to pass in non-home rule municipalities.¹²

We use Equation 3 to estimate the effect of a failed tax referendum on local tax revenues and general fund revenues, replacing the series of failed home rule referendum indicators with a set of indicators marking a failed tax referendum. After excluding municipalities that passed a tax referendum during the sample period, we are left with a comparison group of 172 municipalities that did not hold a tax referendum over the sample period. Among the 52 municipalities that held a failed tax referendum 23 were home rule municipalities and 29 were not.

The rationale motivating this analysis is like that outlined in the previous section: if a government proposes a referendum to garner voter support for a policy—specifically, increasing tax revenues—it may pursue that policy even if the referendum fails. Consequently, positive treatment effect estimates would suggest that the government pursued tax increases despite the preferences of the median voter, as expressed through the referendum. This scenario is more likely in home rule municipalities due to their higher level of fiscal autonomy. As such, Figure 5 presents year-specific treatment effect estimates for home rule and non-home rule municipalities separately.

Figure 5 Here

Again, the analysis reveals no evidence of changes in revenues for home rule and non-home rule municipalities in response to a failed referendum.

Discussion & Conclusion

The goal of this article is to evaluate whether local governments respond to greater levels of taxing authority by increasing the size of the public sector and if voters serve as a constraint on this behavior. We accomplish this by exploiting institutional features in Illinois where municipalities gain home rule status by referendum or through population growth. We argue that in the latter condition the change in fiscal autonomy is exogenous to voter preferences for public sector output.

When changes to HRS are unrelated to voter preferences, overall tax revenues remain unchanged. However, the tax mix shifts away from the property tax and towards sales tax. These findings suggest that fiscal autonomy does not automatically lead to a larger public sector as the state-over-citizens theories would suggest. Instead, governments appear to be aligning their fiscal policies with the preferences of the median voter, as evidenced by the stability of tax levels and the transition to a more politically favored tax mix.

Significant increases in general funds and local tax revenues after a successful home rule referendum also suggest that fiscal policy is indeed responsive to voter preferences. Contrary to expectations, we find increases in property as well as sales tax revenues, although this finding is consistent in direction and magnitude with Zhang and Nguyen-Hoang (2023). This could be attributed to differences in revenue capacity; a portion of municipalities that pass home rule referendums may have a limited ability to boost sales tax revenues, leading them to rely on property taxes to increase tax revenues.

This article adds to a small body of quasi-experimental studies examining the impact of home rule, and fiscal autonomy more broadly, on municipal fiscal policy by identifying a context in which the effects of changes in fiscal autonomy can be convincingly separated from voter preferences. In that sense, our results are an affirmative case for giving local governments the autonomy needed to make fiscal choices that enable them to meet the preferences of their voters. However, they also highlight the need for caution, as governments with the authority and political mandate to raise taxes may not necessarily adopt the fiscal policies that voters expect. Finally, our findings suggest that state institutions limiting local government fiscal autonomy are effective at limiting local government tax and spending. However, they may accomplish this by suppressing the preferences of local voters for public goods.

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Footnotes

1. The full definition of local government fiscal autonomy given in Chapman (2003) is “Local government fiscal autonomy is the ability of a jurisdiction to set tax rates and establish the revenue base without outside influence as well as to ensure that the services demanded by the jurisdiction’s citizens are provided (16).”
2. Author’s calculations using data from the Census Bureau’s Survey of State and Local Government Finances. Adjusted for inflation to 2021 dollars.
3. 35 ILCS 200/18-185.
4. In addition, home rule municipalities in Cook County can impose an additional gasoline tax of up to \$0.03 per gallon (Greg 2022).
5. The economic incidence of the property tax is an ongoing topic of debate (see for example Zodrow 2001). However, what matters for our argument is that voters believe they are bearing the economic burden of the tax.
6. The Illinois Comptroller’s Office defines ‘other’ taxes as “taxes imposed on the sale or consumption of selected goods and services, such as motor fuel, alcohol products, tobacco products, income taxes assessed on either individuals or corporations and any other gross receipts and taxes on businesses other than public utilities.”
7. To explore the generalizability of our results we replicate our main results excluding the nine treated municipalities located in Cook County (which contains the city of Chicago and the surrounding municipalities). Results are presented in Appendix Table A2 and are consistent in direction and magnitude with those in Table 3.

8. The small number of municipalities in the population growth treatment group raises the possibility that treatment effect estimates are sensitive to the composition of the treatment group. To investigate this possibility, we reestimate treatment effects after excluding one treated municipality in turn. Results are presented in Appendix Table A1 and are consistent with the main findings in Table 3.
9. The average population for cities passing a home rule referendum during the pre-referendum period is approximately 12,000. The average population sizes for the small and large groups are approximately 7,100 and 18,100, indicating that this classification provides a reasonable distinction between small and large cities.
10. Over the sample period there were 53 unsuccessful home rule referendums in 46 municipalities.
11. Illinois statute 10 ILCS 5/28-1 states “Questions of public policy which have any legal effect shall be submitted to referendum only as authorized by a statute which so provides or by the Constitution.” In other words, binding referendums must be initiated by the municipal governing body and must be acted on if passed. Advisory referendums, on the other hand, can be placed on the ballot by either the governing body or through a citizen petition, but the government is not obligated to act on the outcome. Advisory referenda are generally used to assess public opinion.
12. Descriptions of the referenda are not detailed or consistent enough to allow for coding by revenue type (i.e. identify referenda pertaining to the sales tax).

Tables and Figures

TABLE 1. Timing of Home Rule Changes.

Panel A: Population Growth		Panel B: Referendum	
Year	Number of Municipalities	Year	Number of Municipalities
2005	1	2005	4
2008	3	2006	7
2011	2	2007	2
2016	2	2008	1
		2010	4
		2014	1
		2015	1
		2017	1
		2019	2

Note: The table reports the number of Illinois municipalities who gained home rule status (HRS) in the relevant year.

Statistics for municipalities who became home rule due to population growth are presented in Panel A while those who held a successful referendum are shown in Panel B.

TABLE 2. Per Capita Differences Between in Fiscal Outcomes by Treatment Status, Never-Treated Period 2000-2004 (2021 \$'s).

	Control (1)	Endogenous HRS (2)	Difference (3)	Exogenous HRS (4)	Difference (5)
Expenditures					
Total	1,667	1,507	.481	1,415	.534
General fund	698	734	.553	670	.801
Public safety (gf)	153	178	.070*	145	.761
Police (gf)	110	125	.076*	121	.474
Non-police (gf)	43.8	52.3	.162	24.5	.081*
Transportation & public works (gf)	51.1	46.6	.205	59.8	.181
Revenues					
Total	1,305	1,227	.624	1,075	.422
General fund	447	491	.229	447	.998
Locally assessed tax revenues	303	297	.890	280	.774
Property tax	141	151	.685	103	.431
Sales tax	115	94.1	.038**	144	.122
Utility tax	29.1	46.5	.000***	20.6	.216
Other tax	18.0	5.2	.213	13.1	.792
Charge for services	277	230	.317	197	.353
License & permits	23.2	37.7	.000***	50.0	.000***
Miscellaneous	59.9	66.4	.555	75.4	.440
Intergovernmental					
State total	198	179	.107	223	.244
Shared income tax	46.6	46.1.4	.712	43.5	.226

Note: The table reports group means for outcome variables in the control group (Column 1) and the two treatment groups (Columns 2 and 4). The control group consists of municipalities whose HRS is constant across our sample period. The endogenous treatment group is made up of municipalities that passed a home rule referendum. Municipalities who gained HRS through population growth are included in the exogenous treatment group (Column 4). All fiscal subcategories are indented. The difference column reports p-

values for the difference between the control group and each treatment group. "GF" is short for general fund. The Illinois Comptroller's Office defines 'other' taxes as "taxes imposed on the sale or consumption of selected goods and services, such as motor fuel, alcohol products, tobacco products, income taxes assessed on either individuals or corporations and any other gross receipts and taxes on businesses other than public utilities."

TABLE 3. Per Capita Estimates of Changes in Home Rule Status on Fiscal Outcomes.

<i>Panel A: Endogenous Home Rule (acquires home rule through referendum)</i>								
	General Fund Revenues	Local Tax Revenues	Property Tax Revenues	Sales Tax Revenues	License & Permits	Charges & Services	Miscellaneous	Other
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Home rule	123.140** (49.693)	67.868*** (24.478)	44.201 (35.104)	32.700 (24.344)	0.869 (8.206)	-52.310 (51.114)	-4.212 (19.445)	-4.295 (3.751)
<i>N</i>	8,172	8,172	8,172	8,172	8,172	8,172	8,172	8,172
<i>R</i> ²	.87	.91	.90	.81	.66	.84	.29	.91
<i>Panel B: Exogenous Home Rule (acquires home rule through population growth)</i>								
Home rule	-31.538 (74.576)	-25.900 (57.060)	-70.678*** (19.420)	64.929* (37.919)	-13.900** (6.957)	-149.12*** (53.989)	-9.995 (22.759)	-9.054 (10.267)
<i>N</i>	7,840	7,840	7,840	7,840	7,840	7,840	7,840	7,840
<i>R</i> ²	.87	.91	.90	.81	.66	.84	.25	.91

Note: Panel A reports estimates for Illinois municipalities that passed a home rule referendum between 2005 and 2019, compared to cities whose home rule status remained constant. Municipalities that gained home rule through population growth are excluded. Panel B compares the reference group to municipalities that gained home rule via population growth over the same period. All specifications include municipal and year fixed effects. Robust standard errors are clustered at the county. Statistical significance is indicated by *** ($p < .01$), ** ($p < .05$), and * ($p < .1$).

TABLE 4. Per Capita Differences Between Illinois Municipalities Gaining Home Rule Status (HRS) Though Referendum and Through Population Growth, Pretreatment Period (2021 \$'s).

	Exogenous HRS			Endogenous HRS			
	<i>A. Full</i>	<i>B. Full</i>		<i>C. Large Municipalities</i>		<i>D. Small Municipalities</i>	
	Mean	Mean	<i>p</i> -value	Mean	<i>p</i> -value	Mean	<i>p</i> -value
Population	21,096	11,503	.000***	18,088	.000***	7,130	.000***
General fund	478	584	.006***	453	.262	670	.000***
Locally assessed tax	360	379	.494	284	.003***	442	.010***
Property tax	163	172	.629	172	.680	172	.672
Sales tax	149	141	.575	77.9	.000***	183	.018**
Utility tax	33.1	55.4	.000***	30.3	.568	72.1	.000***
Other tax	20.9	13.4	.009**	6.0	.000***	18.3	.442
Charge for services	225	255	.194	298	.028	227	.934
License & permits	52.4	42.4	.111	41.3	.204	43.1	.180
Miscellaneous	84.9	73.7	.318	84.7	.206	66.5	.117
State IGR	242	236	.711	171	.000***	280	.021**

Note: Fiscal subcategories are indented. Panel A reports sample statistics for the exogenous treatment group (those whose HRS changed due to population growth). Panel B reports sample statistics for the endogenous treatment group (municipalities that passed a home rule referendum). Panels C and D equivalent statistics for samples limited to municipalities that passed a home rule referendum with populations below and above 12,000 respectively. Cutoff point selection was determined by the population distribution, 12,000 is the approximate. The *p*-value columns report statistical significance levels for the difference between Panel A and Panels B, C and D. *N* for Panels A, B, C and D are 77, 203, 81, and 122.

TABLE 5. Referenda Descriptive Statistics, FY 2000-2021.

	Home Rule	Non-Home Rule
Total Referenda	389 (100%)	671 (100%)
Total Referenda Failed	145 (36.5%)	294 (42.4%)
Tax Referenda	70 (24.2%)	275 (49.8%)
Tax Referenda Failed	39 [54.8%]	124 [30.3%]
<i>N</i>	3,231	4,973
Number of Municipalities	153	229

Note: The table reports the number of referenda for home rule and non-home rule

municipalities. The values in parentheses are calculated as a percentage of total referenda. The values in brackets are calculated by dividing the number of failed tax referenda by the total number of tax referenda held.

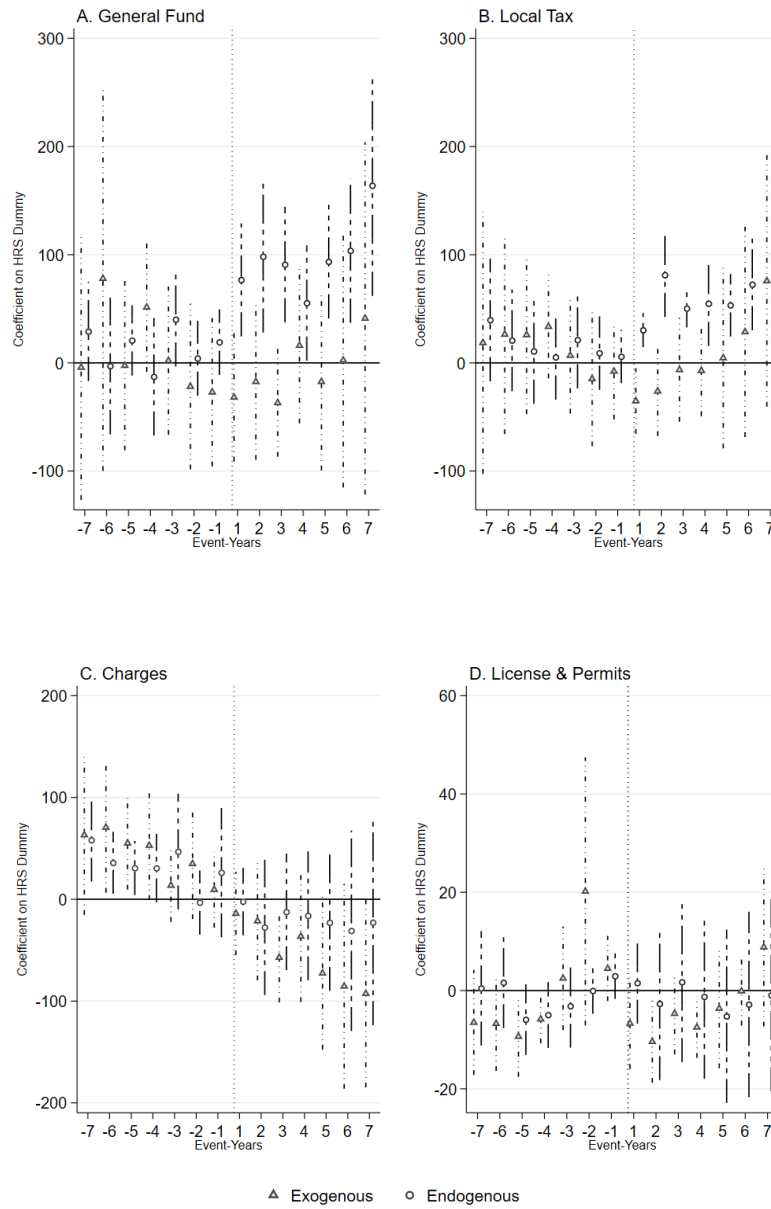


FIGURE 1

Effect of Home Rule on Revenues, FY2000-2021

Note: The figure plots yearly treatment effect estimates of the effect of home rule status on the per capita tax revenues. The exogenous treatment group's HRS changed due to population growth while the endogenous treatment group achieved HRS via referendum. Both are compared

to a group of municipalities whose treatment status was constant across the sample period. The omitted time period is $k = 0$, the year before the change in home rule status. The vertical dashed line separates the time before and after the intervention. 95% confidence intervals. Robust standard errors clustered at the county. $N = 7,840$ for exogenous treatment group analysis and $N = 8,172$ for endogenous treatment group analysis.

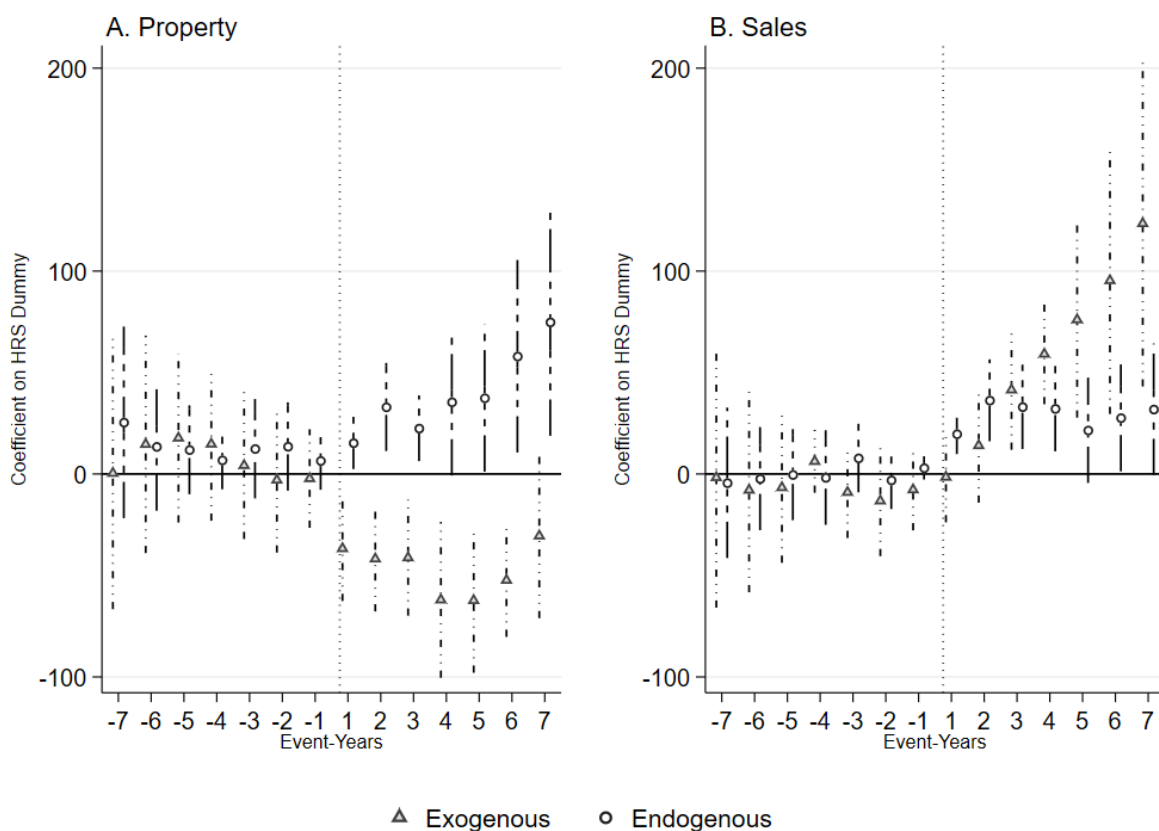


FIGURE 2

Effect of Home Rule on Property and Sales Tax Revenues, FY2000-2021

Note: The figure plots yearly treatment effect estimates of the effect of home rule status on sales and property tax revenues. The exogenous treatment group's HRS changed due to population growth while the endogenous treatment group achieved HRS via referendum. Both are compared to a group of municipalities whose treatment status was constant across the sample period. $k = 0$, the year before the change in home rule status, is the omitted time period. The vertical dashed line separates the time before and after the intervention. 95% confidence intervals. Robust standard errors clustered at the county. $N = 7,840$ for exogenous treatment group analysis and $N = 8,172$ for endogenous treatment group analysis.

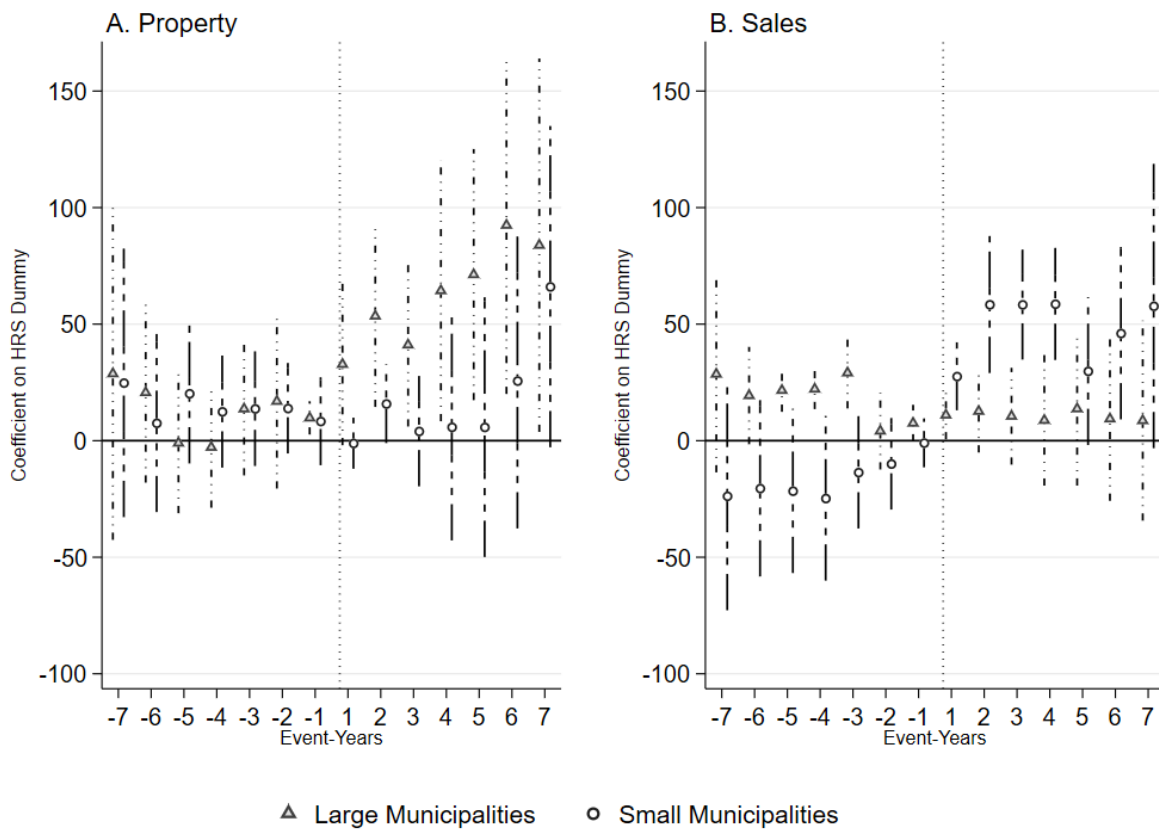


FIGURE 3

Effect of Successful Home Rule Referendums by Municipal Size, FY2000-2021

Note: The figure shows yearly treatment effect estimates of successful home rule referenda on tax revenues. Triangles indicate municipalities with populations $\geq 12,000$ in all pre-referendum years; circles indicate those with populations $< 12,000$ at any time before adopting home rule. In all cases, the control group is municipalities whose home rule status was unchanged throughout the sample. Panel A reports per capita property tax revenues; Panel B reports per capita sales tax revenues. $k=0$ (the year before status change) is omitted. The vertical dashed line marks the intervention. 95% confidence intervals; robust standard errors clustered at the county. $N = 8,002$ (large) and $N = 8,020$ (small).

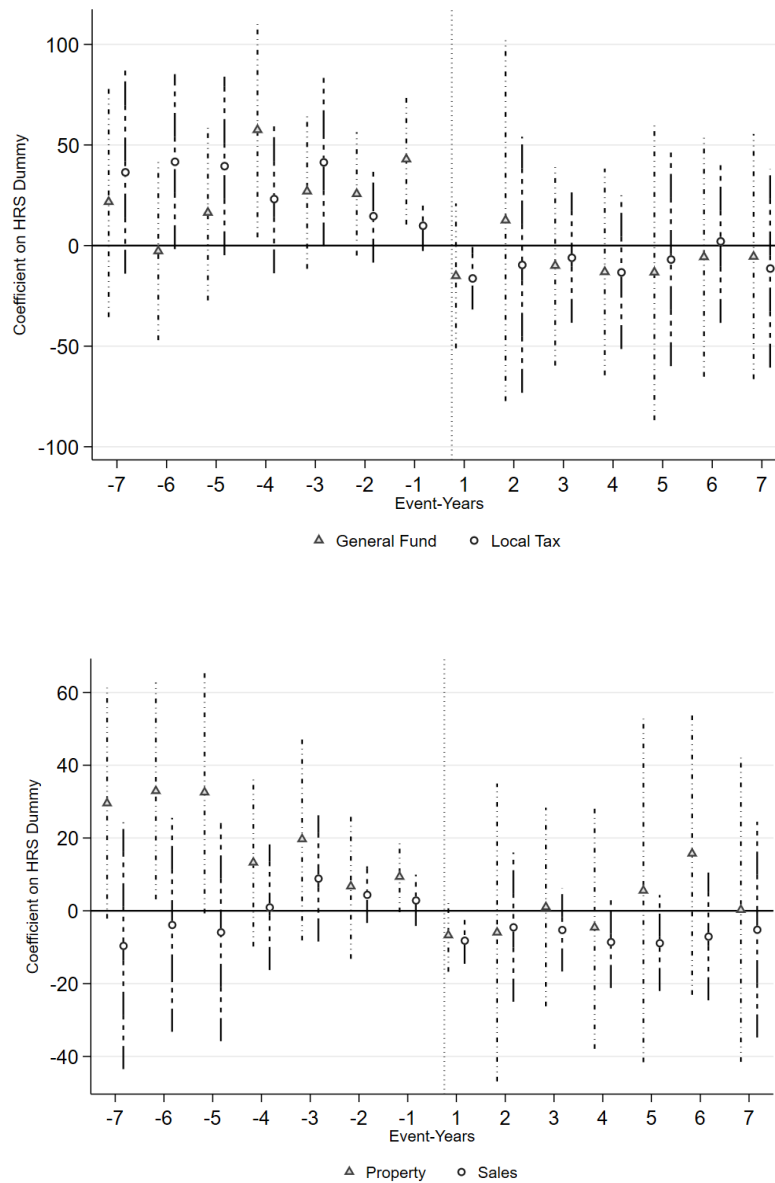


FIGURE 4

Effect of Failed Home Rule Referendum, FY2000-2021

Note: The figure plots yearly treatment effect estimates of the effect of failed home rule referenda on the per capita tax revenues. Treatment is defined as the year of the first failed

referendum. The treatment group consists of municipalities that experienced a failed referendum, while the control group includes municipalities that did not hold a home rule referendum during the sample period. $k = 0$, the year before the change in home rule status, is the omitted time period. The vertical dashed line separates the time before and after the intervention. 95% confidence intervals. Robust standard errors clustered at the county. There are 45 treated units and $N = 7,964$.

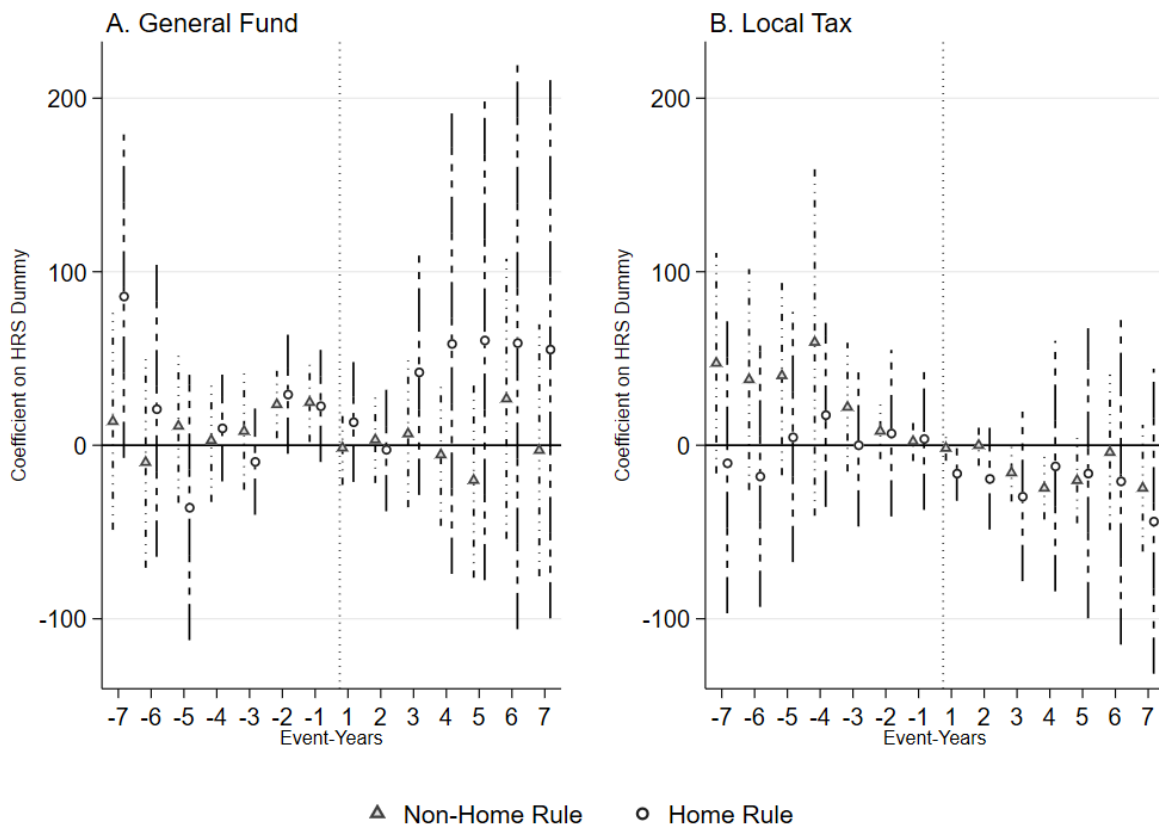


FIGURE 5

Effect of Failed Tax Referendum, FY2000-2021

Note: The figure plots yearly treatment effect estimates of the effect of failed tax referendum for home rule and non-home rule municipalities on general fund and tax revenues. The treatment group consists of municipalities that experienced a failed tax referendum, while the control group includes municipalities that did not hold a tax referendum during the sample period. The omitted time period is $k = 0$, the year before the change in home rule status. The vertical dashed line separates the time before and after the intervention. 95% confidence intervals. Robust standard errors clustered at the county. $N = 2,307$ for non-home rule treatment groups analysis and $N = 2,501$ for home rule treatment groups analysis.